

instead are just labels for the type of contract between the asset owner and intermediaries.

The growth in pension assets has been driven mainly by the rise of defined contribution plans. Panel C of Figure 1.2 splits the AUM into the proportions managed by defined benefit and defined contribution plans. Defined benefit plans used to manage nearly 70% of AUM in 1984, but this has declined to 35% in 2012. Most of the increase in defined contribution plans has come from new 401(k) plans at the expense of traditional defined benefit plans. Of this rise in defined contribution plans, most of the money has been in 401(k) plans. Since 1984, active participants in 401(k) plans have increased from 29% of all defined contribution plans to about 90%.²⁴

Munnell and Soto (2007) identify two main reasons behind the rise of defined contribution plans and the corresponding decline of defined benefit plans. First, individuals wanted to do it on their own (*increased demand* from employees). Defined contribution plans are portable, which makes them attractive to workers flitting from one employer to another—which is now what happens in the labor market. Moreover, marketing pitched at the little guy by the finance industry has convinced many that they can do a better job investing their own money.²⁵

Second, on the *supply side*, employers found defined contribution plans cheaper and easier to offer. The cost of providing defined benefit plans has risen since the 1980s: workers are living longer, there has been an increase in real wages over time, and the uncertainty of contributions is costly to firms and shareholders. Regulation governing defined benefit plans has become more burdensome; the government wanted to increase the safety of workers' money in defined benefit plans, but at the same time the regulation increased their cost. This new regime of regulation is . . .

3.2. ERISA

The Employee Retirement Income Security Act of 1974 (ERISA) provides minimum standards for pension plans: it set minimum benefits that plans had to provide to employees, and minimum funding to ensure those benefits could be paid.²⁶ In addition to ERISA, there has been additional pension legislation throughout the years, the most recent incarnation being the Pension Protection

²⁴ See Munnell, A. H., and P. Perun, An Update on Private Pensions, Initiative on Financial Security, the Aspen Institute, Issue Brief October 2007. Munnell and Perun also report the fraction of workers covered by pension plans, both defined benefit and defined contribution, in the private sector has been trending downward over time from 51% in 1979 to 46% in 2004.

²⁵ A scathing, but thoughtful, review of the personal finance industry is Olen (2012).

²⁶ ERISA is one of the most complex sets of legislation affecting business. Title I protects rights of beneficiaries. Title II concerns taxation issues. Title III mandates the role of actuaries in certifying pension liabilities and asset values. Title IV creates the Pension Benefit Guaranty Corporation.